Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board
Unknown Executive -

Analysts
Antonio Hernandez -
Fernando Ferreira - Director
Filippe Goossens -
Hector Maya -
Luis Miranda Valenzuela - Head of Food and Beverage
Pedro Leduc - Senior Analyst
Sergio Matsumoto -

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's First Quarter Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Good morning, everyone, and thank you for joining us today. I'm here today with our CFO, Guillermo Quiroz; our BBU President, Fred Penny; and several members of our finance team.

I'm pleased to report that 2016 has gotten off to a good start as our strategic focus on driving revenue, market share and profitability is being evidenced with double-digit growth across the P&L, improving share trends for key global brands and a healthy margin expansion. We also benefited from FX rates and lower raw material cost in the period, allowing our investment innovation, lean manufacturing and route efficiency to advance our long-term value creation strategy without compromising short-term performance.

Regarding results in the quarter and starting with Mexico. Sales rose almost 6% over last year, largely on volume gains across every channel. Notably, the modern one. And good performance in the bread, buns, cakes, cookies, salty snacks and confectionary categories. I should note there was still pressure in sweet

baked goods so we remain focused on renewing the category on all fronts to change past trends.

We generated a healthy margin before other income and expenses on the back of manufacturing, marketing and distribution efficiencies. EBITDA expanded 120 basis points attributable to the above-mentioned productivity gains and the disposal of assets in Mexico City worth MXN 110 million. This factors more than mitigated FX pressure on raw materials.

Moving on to North America. The stronger dollar helped drive the 21% rise in sales during the period. And this growth in our strategic brands such as Thomas, Sara Lee, Little Bites, Ball Park, Nature's Harvest, Dempster's and Barcel. From a category perspective, outperformance included sweet baked goods, snacks, buns, flatbreads and frozen bread. And in the latter, I can highlight the launch of the Grace Baking organic bread brands and solid growth in the retail in-store bakery business.

In the United States, we're benefiting from our efforts to invest in our strategic brands, bringing innovation to the category as well as optimize promotional spending on our product portfolio. The most recent data shows -- show a continued trend and improved dollar share in the branded mainstream bread category. This positive trend is a reflection of our recent product launches as well as continued trade promotional effectiveness and SKU optimization.

While our premium bread category dollar share is slightly behind a year ago, brands such as Arnold, Brownberry and Eureka! are growing. In addition, upcoming innovation and national launches for Eureka! organic and extra grainy bread will write future growth both from a total category and share perspective.

As for Canada, buns, Villaggio, Campagnard and Salmas did well in the period. We continue to focus on higher quality products in these market along with trade promotion optimization, cost reduction across the system doing industrial conversion and productivity initiatives like the recent closure of our plant in Halifax.

And lastly, we are in the migration of the ERP system. Overall, North American operating performance benefited from lower raw material cost and significantly lower restructuring expenses in the U.S. This more than offset the above-mentioned integration expenses in Canada. As a result, adjusted EBITDA rose more than 75% with a 230 basis point expansion in the margin.

In Latin America, as you know, macroeconomic conditions have been challenging in several markets. Nonetheless, we were able to generate solid volume gains in Brazil, Peru and Central America, which helped boost the top line by almost 5%. This was supported by successful product innovations like [indiscernible] and our ability to grow categories such as tortillas and snacks.

Last week, we signed an agreement for small bolt-on acquisition in Argentina. General Mills frozen bakery business, which generates approximately USD 25 million in sales and products like frozen bread, pastries, sweet baked goods and Medialunas, the Argentinian version of croissants. This acquisition in the high-growth frozen category in general complement our current product portfolio and reinforce our profile and growth strategy in the country. We expect to close this transaction in May.

For the region as a whole, we narrowed our quarterly operating loss through a leaner administrative structure and we will continue to focus on increasing productivity and efficiency across our brands, sales centers and distribution routes.

Moving on to Europe, where the 13% growth in the quarter was attributable to FX benefit, we're still experiencing pressure in the bread category in Iberia, as private label producers increased competitive pressure. At the operating level, we incurred expenses this period for the closure of the Palma de Mallorca plant last year. We will continue to focus on manufacturing efficiencies and brand innovation to support future growth in the region.

As for the Panrico acquisitions, authorizations are still pending.

Moving on to the balance sheet. Total debt to adjusted EBITDA at the end of the quarter was 2.8x, down from 2.9x 3 months ago.

Before I conclude my remarks this morning, I would like to remind you that we will be hosting a Bimbo Day in Mexico City on May 25th, which will cover our value building strategy, business operation and innovation initiatives. So we hope to see you there.

Now we're ready for the question-and-answer session. Amy, could you help us with that?

Question and Answer

Operator
[Operator Instructions] Our first question is from Fernando Ferreira, Bank of America.

Fernando Ferreira
I have a few questions. First one in Mexico. I mean, you reported a record level of margins, right? For first quarter for as long as we can go back and see. But yet you guys have thought that margins would decline this year, right? So I just want to have an updated view from you, what do you think about profitability in Mexico for this year after the strong Q1. That'll be the first question.

Daniel Javier Servitje Montull
Yes, on Mexico. I mean, we are happy with the results and efficiencies that we've been obtaining. There are many initiatives on the way for making this a good year, but we're still experiencing, as you know, the FX impact. And we're -- we maintain our view on Mexico. We had a good quarter.

Fernando Ferreira
Okay. And then on Bimbo U.S. if you can please provide a breakdown of the organic sales mix between price and volumes? And also, if you can discuss also on the profitability side, I mean, how do you can continue right to expand profitability in the next couple of years, given that the industry is pretty promotional, right? And we've seen some profit warnings. So I just wanted to get an update on your plan at Bimbo U.S.

Alfred Penny
I'll take them both. Our top line, our revenues were essentially flat. I think maybe down a couple of pence, Steve, in the quarter. And I'd say it's probably 50-50 mix between volume, performance and pricing. We got some pricing in the quarter that offset a bit of volume drag. I'd also say that our top line in the quarter was better than -- the underlying trend was better than what the raw number came in at. We've been doing a lot of efficiency work. Daniel mentioned it on portfolio rationalization. And as in prior calls, I talked

about the fact that private label's been a drag. The volume as a category has been down. And if you adjust our numbers for just those 2 factors, that's worth about a point on the top line. So the underlying trends are more positive. Relative to profitability, it was a good quarter. We benefited from commodity favorability, but we also benefited significantly from our productivity efforts. And I believe we're going to continue to benefit from our productivity efforts and we have a lot more work to do to drive costs out of our business that is going to help us improve our profitability over time going forward.

Operator
The next question comes from Sergio Matsumoto at Citigroup.

Sergio Matsumoto
My question is on Mexico. We saw some nice savings coming from the lower operating expenses. I'm just wondering what the sources were on these and whether these were related to the zero-based budgeting that you discussed recently. That's my first question.

Guillermo Jorge Quiroz Abed
Yes. We're just starting with the ZBB initiative. So I wouldn't put those benefits into these programs. All in all, I will say that we're continuing with our efforts to streamline manufacturing and regaining in all our plants, the benefits of that work as what we're doing in other areas. So I wouldn't point it out to one specific project. It's really the effect of multiple initiatives that we have in the company.

Sergio Matsumoto
And when you say streamline manufacturing, I mean, unlike in the U.S. where you did close several plants and you shifted the production to newer and more modern plants, that's -- as far as I know that's not the case in Mexico. Where are the streamlining coming from?

Daniel Javier Servitje Montull
No. Sergio, let me tell you that our plants in Mexico are, I would say, probably very, very efficient and world-class. And we continue to upgrade them all the time. And we put up a high-speed bond line in Mexico City not long ago. It's very efficient line. We also did close a couple of plants last year and that helped us to include our -- improve our manufacturing efficiency. So we are doing, I would say, very good work here in our operational areas improvements.

Sergio Matsumoto
Okay. And my next question is for Fred. You just mentioned a few minutes ago about a lot more work to be done in North America as far as the productivity efforts go. And just curious what you meant by it, if you could explain more broadly.

Alfred Penny
Sure. So if you think about us in terms of the last, call it, 4 years of work since the Sara Lee acquisition, we've had major restructuring work, including significant bakery closures, which was just mentioned, some new builds, significant work around integrating the route systems of the 2 legacy companies and that was literally thousands and thousands of routes that were restructured and a net reduction of routes when that was all said and done. So that was -- I think about that as a restructuring integration period. And as we came out of that in 2015, we're now moving into what I'd refer to as organizational effectiveness and efficiency time frame. We have -- we still have a lot of productivity opportunity across our entire supply chain, which we're going to get at through better -- bakeries running better, routes

running more efficiently, lower return rates, et cetera. That's different productivity work than restructuring work that we've been doing in the past 5 years. But we have a lot of opportunity, in my view, to continue to drive costs out of the system and become a much more productive company. And that's what all of our associates have been focused on and we're seeing evidence of it come through in our first quarter results. And we saw evidence of that work coming through as we exited 2015 and I expect that to continue. But it's different work.

Sergio Matsumoto
Okay. So this new work that you're doing, it doesn't involve a significant restructuring expenses as the ones that you did in the last 4 years, is that correct?

Alfred Penny
Yes. That's correct. We may have -- we may, and I anticipate we will, at some point in time, have some more restructuring work as we identify opportunities to change our asset footprint as an example. But nothing of the scale that we were doing in the past 5 years. It's different work. And the best way I can describe it without going into too much detail is it's work to try to make our supply chain more effective and efficient. And that's not this kind of work that we did in the past with bakery closures as an example.

Operator
The next question is from Pedro Leduc at JP Morgan.

Pedro Leduc
Two quick ones, please. On the U.S, would it be fair to assume that that's in line with prior question, now that all the other expenses including pension fund provisions and other are out of the way? Or at least the bulk of it. And then, 2, if the raw material tailwind that has been helping your gross margins, if it's still feasible, at least as far as you're hedged out or have control for the remainder of the year?

Alfred Penny
Regarding pension funds, there's no significant change in our pension fund obligation. As we've mentioned before, we have 32 multiemployer pension plans, contingent withdrawal liability is stable. And so no significant changes there. What was your second question, if you could repeat that?

Pedro Leduc
Yes. One of the raw material tailwinds that has been helping your gross margins in North America, if you have visibility or some sort of hedges that will continue for the remainder of the year, please?

Alfred Penny
I mean, we continue to have -- we're consistent with our corporate strategy and hedging strategy between 4 to 9 months out. And we do plan to see favorability throughout the rest of this year in commodity favorability. Gross margin improvements this year for our business is about 3 points for the quarter and about half of that is from commodities.

Operator
The next question is from Luis Miranda at Santander.

Luis Miranda Valenzuela

Two questions. The first one is a follow-up on the U.S. I'm just trying to understand on this margin expansion that we saw on the EBITDA margin. It would be fair to assume that going forward, we should continue to see an acceleration in terms of the expansion from previous quarters, and I mean in terms of your objective for the end of the year, should we be aiming for the close to an 8% in EBITDA margin for the region? And the second question is if you could give some color in terms of Brazil despite the challenging conditions, it seems that the restructure that you made in the past has been giving a very good results and what could we expect in the medium term there?

Alfred Penny
Yes. I'll take the first question on the U.S. In the quarter, our EBITDA margin expansion for the U.S. was 2.6 percentage points. And you can think about that as roughly half of that coming from low restructuring and half of it coming from improved operational earnings. And so going forward, without giving guidance, I expect us to continue to have improved year-over-year EBITDA margin performance.

Daniel Javier Servitje Montull
Yes. On Brazil, let me tell you that we're happy with the volume gains that we're experiencing. We have had good launches in the quarter and strong performance in terms of market share in the different regions of the country. Despite that, the conditions are difficult and there are many issues in which we are focused to improve our results. So we're happy with the top line and the restructuring efforts are continuing to improve our efficiencies. But there's a long way to go there and the marketing itself is it's quite rocky. So we're cautious about what we could expect there in the future.

Operator
The next question is from Antonio Hernandez at Barclays.

Antonio Hernandez
I want to get a little more color on the top line in North America and Europe that was mainly benefited by FX. What is the outlook for coming years? How is the company working to maintain its market share given the competitive pressures that it faces there?

Daniel Javier Servitje Montull
Well, let me just tell you that obviously, North America encompasses Canada, our U.S. fresh business and our frozen business. And the 3 of them have different, I would say, trends and challenges. We are all committed to improve our performance and maintain our competitive strength. And I would say that we're working on them diligently. In Europe, the conditions of the 2 operations are different. In U.K. we're experiencing growth in our segment, the baking business basically. And in Spain and Portugal, specifically, we had some one-time issues in terms of volume to do some negotiations that are occurring between some of our retailers and ourselves. And there are also some issues that are more structural related to the strength of the private label and the market conditions in private label business in itself. So I would say that ideally it's more challenging at this time, although the country is experiencing growth and a lot of tourism and we hope that conditions will improve in the second and third quarter as we move to higher growth mostly in terms of supply to this segment.

Operator
The next question is from Filippe Goossens at MUFG.

Filippe Goossens

Just had a couple of questions on the balance sheet. If I look at it correctly, you have about MXN 2.7 billion due later on this year. And then with regard to the revolving credit facility, if I read it correctly at least on Bloomberg, you have about MXN 33 billion outstanding there as well. Given the successful issuance of Sigma earlier in the week, MXN 1 billion at very attractive spreads, what's your thinking in terms of particularly, the maturities later on this year? Is that something you may refinance or the plan would still be to just pay down the borrowings in the local market?

Guillermo Jorge Quiroz Abed
Yes. This is Guillermo Quiroz. Really, I would say both. In the short term, we are going to cover this payment using our revolving facility and during the second part of the year, we will be looking for opportunities in Latin markets to refinance this amount as well. So we are taking into consideration both the principal value and the reality related to it. We are talking about $450 million, which is bit more than 20% of the size of the revolving facility. But we would have it in short term and we will, if conditions stay favorable, we will try to go to the market. We haven't decided which market. We'll go to the market during the second part of the year.

Filippe Goossens
Okay. And then with regard -- Guillermo, with regard to the outstandings on the revolver, which you also look at perhaps tapping the debt markets to term out some of that debt or you still would like to keep the flexibility to pay that down from free cash flow as we get closer to, I think it's 2019 now with the maturity dates for the revolver?

Guillermo Jorge Quiroz Abed
Yes. Really, we lack possibility and we don't have any plan to finish that. As you know, we are making a payment of commitment fees. So we'll be very, very comfortable with that. That always including our financial cost. And no, we will try to go to the market and return the revolving facility to its original levels.

Operator
The next question is from Pedro Leduc at JP Morgan.

Pedro Leduc
Regarding the outlook for capital deployment. I know you just mentioned some, but you did end the quarter with much more comfortable cash position that you had at last year. So we were wondering if we could be now looking for potential other M&A opportunities or that should be on hold for now? And you will be focusing on, let's say, turning around Latin America and Europe first before engaging in anything other transformational?

Daniel Javier Servitje Montull
Yes, Pedro. We're always looking for the different opportunities arising in the markets. And our focus now -- our main focus is on closing the Spanish deal and that's what we have mainly on the pipeline. And over the year, we will continue to basically execute our CapEx plan as we have developed it. And there might be some other bolt-on acquisitions that we do over the year.

Pedro Leduc
Okay. But you do expect to reach for the full year 2, 2.5 total debt to EBITDA target by the end of this year, still no?

Guillermo Jorge Quiroz Abed
The answer is yes. We would like to see that. Unfortunately, last year, we didn't have the help of the ForEx effect. We have reduced, as you can see, our level to 2.8. And yet, our -- as Daniel was mentioning before our budget for acquisitions is really low this year because we are very much interested in continuing our deleverage process. But I would say if FX helps, then yes, we might be getting closer to 2.5x or 2.6x if FX helps.

Operator
Our next question is from Sergio Matsumoto of Citigroup.

Sergio Matsumoto
I have a couple. First is in for Fred on Canada. I understand that the organic sales growth is pretty brisk in Canada much more than so in the United States. I'm just wondering what was the reason for that. And the second question is in Mexico. This asset disposal you're accounting for as operating income and just wondering what led you to make that decision. And the third question is on Panrico acquisition. Just wondering if there was changes in the terms or in the structure or in the approval time frame.

Daniel Javier Servitje Montull
Okay. I will take questions 2 and 3. Regarding Panrico, some news comes out -- really came out. So really there's nothing according -- nothing new or nothing of importance. Really, what happened is that during the mechanics that were first offered to the authorities, we were going to acquire the whole business living out the branded white bread. And according to new conditions, we will acquire the whole business. And simultaneously, we are going to sell them -- to sell the brand, white bread brand business to a company called Adam Foods. So really, we don't consider to be any important change. We are still pending for the reaction of the Spanish authorities. And so that's about it. And it someone reminds me about the first -- further question, I will...

Unknown Executive
Disposal of assets.

Daniel Javier Servitje Montull
Disposal of assets. Yes. We really -- it's not a big deal. We sold a very old building -- not a factory, very old building in Mexico City. And we're making a profit of MXN 110 million. And why is it considered as operating income? That's an easy answer, because there's no other way to treat it according to IFRS. If you take a look to our internal way of seeing things, that is included in other income, which is not part of our management profit. But according to IFRS, everything is considered to be operating income or operating expense.

Daniel Javier Servitje Montull
Now on the first question, let me tell you that organic fresh sales in Canada, and I would say in general, everywhere with a section of very selected markets in the U.S. It's a small market and its a low velocity item. So our view is that we have to be cautious about expanding significantly on these items, given the premium price that it's charged for them and cost.

Operator
Our next question is from Hector Maya at Vector.

Hector Maya
First, I would like to know if there are -- regarding the margin reduction in Mexico just to the FX pressure and Mexican pesos for the cost of raw material. Are you expecting this trend to continue in the same level? Or are you a little bit more optimistic with that? That would be my first question.

Daniel Javier Servitje Montull
As we mentioned before, we have our hedging policies covering that in that regard. The markets in commodities have mostly gone now sideways because we -- the big favorability impact of the prices was happening last year. And in terms of the FX, well, that's really a 400,000 dollar question. We never know what's going to happen in that regard. And it's related to other things that we cannot materially control. So we're basically hopeful that the exchange rate, it's okay right now, but that's out of our bounds.

Guillermo Jorge Quiroz Abed
Let me add something to that to the FX question. We have a very disciplined way to approach that. We basically have about 6 months hedging period for commodities used for raw materials. So I think that the right way to see it is that we are leaving today exchange rates that were 6 months ago. So we will continue to do that. So I have emphasis here in the company that as there is no way to avoid FX as Daniel was mentioning, we tried to provide our business leaders to window of stability of around 6 months. So basically, what it says -- what it means is that when some changes in the market, and the result is true for the wheat and other raw materials hedges who are talking in the market it comes out. So we don't have to face it from when we turn over. We face it with a six-month advance so we can adjust our business model to new commissions. So we don't know what is going to come, but we would always have between a 4 and 6 months window to adjust our business model to that -- to whatever it comes.

Hector Maya
Thank you. That's very clear. And I have another question this one on the operating margin performance for Latin America and Europe. Are you considering a new strategy or some business change on those regions? Something that could change may be the performance and the margin? Or what are you expecting of that in those regions for the next -- for this year? Can we expect at the same levels we are seeing right now or is there going to be some kind of improvement?

Daniel Javier Servitje Montull
Yes. We improved certainly in Latin America this quarter. And we are -- the results of Latin America are very different country from country. We have some in which we're investing very strongly in building up our manufacturing capacity, in developing or expanding our routes systems and as well as some system implementations on the commercial front. So it's really a mosaic. It's not only one entity and performance. It varies significantly from 1 country to the other. In general, I would say that we are continuing with our long-term plans of strengthening our position in all other markets. And we are hopeful to meet our targets that are better than last year in the region as a whole. In Europe, as I've mentioned, we're hitting a difficult moment in the market. We expect conditions will release in Iberia in the following quarters but as of now, the market is still slow in that sense. I'm more hopeful that Latin America even lot of the conditions in some countries are quite challenging.

Operator
This concludes the question-and-answer session. At this time, I would like to turn the floor back to Mr. Daniel Servitje for closing remarks.

Daniel Javier Servitje Montull
Well, thank you all for your time today and please do not hesitate to contact us with any further comments or questions you might have.

Operator
This concludes today's presentation. You may disconnect your line at this time and have a nice day.

Disclaimer
The information in the transcripts ("Content") are provided for internal business purposes and should not be used to assemble or create a database. The Content is based on collection and policies governing audio to text conversion for readable "Transcript" content and all accompanying derived products that is proprietary to Capital IQ and its Third Party Content Providers.

The provision of the Content is without any obligation on the part of Capital IQ, Inc. or its third party content providers to review such or any liability or responsibility arising out of your use thereof. Capital IQ does not guarantee or make any representation or warranty, either express or implied, as to the accuracy, validity, timeliness, completeness or continued availability of any Content and shall not be liable for any errors, delays, or actions taken in reliance on information. The Content is not intended to provide tax, legal, insurance or investment advice, and nothing in the Content should be construed as an offer to sell, a solicitation of an offer to buy, or a recommendation for any security by Capital IQ or any third party. In addition, the Content speaks only as of the date issued and is based on conference calls that may contain projections of other forward-looking statements. You should not rely on the Content as expressing Capital IQ’s opinion or as representing current information. Capital IQ has not undertaken, and do not undertake any duty to update the Content or otherwise advise you of changes in the Content.

THE CONTENT IS PROVIDED "AS IS" AND "AS AVAILABLE" WITHOUT WARRANTY OF ANY KIND. USE OF THE CONTENT IS AT THE USERS OWN RISK. IN NO EVENT SHALL CAPITAL IQ BE LIABLE FOR ANY DECISION MADE OR ACTION OR INACTION TAKEN IN RELIANCE ON ANY CONTENT, INCLUDING THIRD-PARTY CONTENT. CAPITAL IQ FURTHER EXPLICITLY DISCLAIMS, ANY WARRANTY OF ANY KIND, WHETHER EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE AND NON-INFRINGEMENT. CAPITAL IQ, SUPPLIERS OF THIRD-PARTY CONTENT AND ANY OTHER THIRD PARTY WORKING WITH CAPITAL IQ SHALL NOT BE RESPONSIBLE OR LIABLE, DIRECTLY OR INDIRECTLY, FOR ANY DAMAGES OR LOSS (INCLUDING DIRECT, INDIRECT, INCIDENTAL, CONSEQUENTIAL AND ANY AND ALL OTHER FORMS OF DAMAGES OR LOSSES REGARDLESS OF THE FORM OF THE ACTION OR THE BASIS OF THE CLAIM) CAUSED OR ALLEGED TO BE CAUSED IN CONNECTION WITH YOUR USE OF THE CONTENT WHETHER OR NOT FORESEEABLE, EVEN IF CAPITAL IQ OR ANY OF THE SUPPLIERS OF THIRD-PARTY CONTENT OR OTHER THIRD PARTIES WORKING WITH CAPITAL IQ IN CONNECTION WITH THE CONTENT HAS BEEN ADVISED OF THE POSSIBILITY OR LIKELIHOOD OF SUCH DAMAGES.